

**Global Capitalism Review**  
**Chris Hughes**  
**Wharton**

Overall, the Index looks like it's in strong shape to me. I would favor Option ii - Recommend approval of Index model once minor concerns are addressed and recommended changes made.

The overall index looks like it is very comprehensive. It's a bit difficult to make judgments on the subindex I was assigned without knowing exactly what's covered in others. Assuming there is overlap, I think it would be worthwhile to streamline and simplify this category and perhaps others? Having not been privy to the development, it feels like a project where having so many cooks in the kitchen has caused it to spawn unnecessarily. It could use leadership/editorial judgment here in the last phase to make clear normative decisions about what should be included and how in order to simplify and prevent unnecessary overlap.

My specific thoughts on the subindex are below.

- A. i. I would not include a reskilling option given that it's difficult to differentiate vocational opportunities from reskilling programs. I'm also unclear on what state programs help people "find new employment." I'm not aware of evidence of job banks functionally working or improving labor market outcomes. I would shift this category to something more concrete: In your country, to what extent is vocational training available to workers throughout their lifetimes?
- ii. This seems appropriately scoped.
- iii. I'm not clear on whether this is asking about public investment, regulatory policy, or business formation law. I would put the emphasis on the speed with which new businesses can be incorporated and operational rather than direct investment in start-ups. "Start-up" also has a tech connotation - I assume this is about all business formation and not tech specific? I think it should be broad.
- iv. Public investment in R&D can be tricky to identify. DARPA and university funding can easily be identified as R&D, but public investment in frontier companies could also qualify.
- v. This seems appropriately scoped.
- vi. This seems appropriately scoped.
- Vii. This seems very difficult to quantify.
- Viii. This seems appropriately scoped.
- ix. Vague - do we need this?
- x. This seems appropriately scoped.
- xi. This is an outcomes question, unlike the others so far. An empirical observation of market success rather than the effect of government on markets. It stands out from the rest. Without it, I worry that the results might be skewed against countries with high degrees of innovation.

- B.
- i. Appropriately scoped.
  - ii. What does personnel independence mean? Is the assessment of appropriate central bank objectives only price stability and maximum employment? I think that may be artificially narrow, since in some cases, credit allocation has been a priority for central banks and could be effective.
  - iii. Is updating a legal framework a good in and of itself? Land-based property rights may be centuries old and not merit updates and still be innovation enhancing.
  - iv. Appropriately scoped
  - v. Appropriately scoped.
  - vi. Appropriately scoped.
  - vii. This feels tricky given the shifting and often contested definitions of what makes for a crisis. Does climate change count? High levels of illegal immigration?
  - viii. Appropriately scoped.
  - ix. Appropriately scoped.
  - x. appropriately scoped.
  - xi. The use of the word “illegal” here feels problematic. Public capital can be deployed to political allies and friends without it being illegal.

A few things that are missing:

Outside of the initial gesture to reskilling, there's no consideration of education, whether it be vocational or higher education.

There's no consideration of institutions of public investment – national investment banks or sovereign wealth funds.

There's no consideration of the role of regulated monopolies or utilities and how effectively they're run.

There's no consideration of the effectiveness of government to update public policy in a timely fashion, i.e. responsiveness to the changing dynamics of the economy.